

2003 CanLII 43571 (ON SC)

HEARD: March 12, 13 and 14, 2003

REASONS FOR JUDGMENT

[2] The plaintiff, Dr. Allen, is a dentist who has an office in a plaza at 880 Ellesmere Road (the “Plaza”) in northeast Toronto. The Plaza was owned by Lawrence Avenue Group Limited (“Lawrence”).

[3] Lawrence had a written contract with Santo Lipani, c.o.b. Lipani Contractors, dated October 25, 1989 (the "Contract") for "snowplowing of [the Plaza] from November 01, 1989 to March 31, 1990, including all staircases and walkways" at a flat rate of \$990.00 each month and salting for \$170.00 for each ton of salt. The written Contract stated that "the snowfall must accumulate 2 inches of snow or over". The Contract was drafted by Mr. Lipani. An officer of Lawrence and Mr. Lipani signed the Contract. The Contract was silent as to when salting was required.

[4] Mr. Lipani testified that he assigned the Contract to 825999 Ontario Ltd. ("825") in 1989 after his partner complained that it would be unfair for Mr. Lipani to use 825's equipment in servicing the Contract but to retain the profits for himself. Mr. Lipani denied that he assigned the Contract to obtain the benefit of 825's insurance. It is clear, however, that Lawrence was not aware of, and did not consent to, the assignment.

[5] On January 2, 1990, at about 5:00 p.m., Dr. Allen slipped on a patch of ice on the brick floor of the covered hallway at the foot of an open stairway in the Plaza, opposite the entrance to his office. The stairway led up to the open sidewalk at ground level on the north side of the Plaza.

[6] The stairway had a handrail on each side and a handrail in the middle.

[7] At the time of the accident the stairs were dry. There was a small pile of snow at each side of the bottom of the stairway, out of the path of users of the stairs and the covered hallway from which the stairs rise. Pictures taken at about 11:00 p.m. on January 2, 1990 and at about 9:00 a.m. on January 3, 1990 show clear ice covering the first 3 or 4 bricks of the hall floor extending out from the foot of the stair. The ice appears to come from melt from the pile of snow to the left of the bottom of the stairs. The pile of snow appears to be stale and crusted, that is to have thawed and refrozen.

[8] The Monthly Meteorological Summaries at Toronto City for December 1989 and January 1990 ("Summaries") indicate the following:

	Max. Temp.	Min. Temp.	Rainfall	Snowfall
Dec. 27	- 4.2	- 17.9	Nil	6 cm
Dec. 28	- 2	- 6.5	Nil	4 cm
Dec. 29	- 7.5	- 11	Nil	5.8 cm
Dec. 30	2.4	- 11	2 mm	Trace
Dec. 31	4.7	- 5.7	1.8 mm	
Jan. 1	- 1.1	- 4.8	Nil	

Jan. 2	1.6	- 2.6	Nil	
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[9] The Summaries indicate that (a) the accumulated snow on the ground on December 30, 1989 was 17 cm and by January 2, 1990 was 12 cm; (b) between noon and 5:00 p.m. on December 31, 1989 the "dry-bulb" temperature at Toronto was 3 degrees Celsius; and (c) at 5:00 p.m. on January 2, 1990 the temperature was zero.

[10] The temperature in the covered walkway at the foot of the stairs in the Plaza was probably increased slightly by the heat from the windows of Dr. Allen's premises and the stores along the hallway.

[11] Mr. Lipani's invoices to Lawrence for December 1989 and January 1990 state that he salted on December 26, 28 and 29 and on January 2.

[12] Mr. Lipani testified that he generally cleared the snow between 11:00 p.m. and 8:00 a.m. He was unsure whether he salted in the early morning or late evening of January 2. Lawrence offered no evidence on the issue.

[13] I find that the ice on which Dr. Allen slipped probably resulted from snow melting on or after December 30, 1989 in a pile of snow placed by Mr. Lipani to the side of the bottom of the stairway prior to December 30, 1989.

[14] Mr. Aldo Leopardi was the maintenance superintendent for Lawrence of the Plaza and several other properties owned by Lawrence in 1989-90. He testified through an interpreter. He testified that following a snowfall and removal of the snow from the parking lot, sidewalks, walkways and staircases, Mr. Lipani was supposed to apply salt. Mr. Leopardi said Mr. Lipani was supposed to shovel snow out of the way of pedestrians and cars. Removal of snow from the site was an "extra" to the Contract. The parties agree that there was an oral agreement that Mr. Lipani was also supposed to apply salt if Mr. Leopardi called and asked Mr. Lipani to do so. Mr. Leopardi said that if he needed ice removed he would call Mr. Lipani. Mr. Lipani kept a supply of salt in the Plaza's garage.

[15] While Mr. Leopardi testified that he never talked to Mr. Lipani about returning to the site after he had removed snow, his answer was probably in the context of his evidence that Mr. Lipani did a "fine job" of snow removal and that he would recommend Mr. Lipani to others.

[16] Mr. Lipani acknowledged that when he was called to apply salt at the Plaza he would attend and apply it where directed.

[17] Mr. Lipani acknowledged on discovery that if he was aware of the need for salting, such as following a freezing rain or icing outside, he would attend and salt even if not called to do so. Mr. Leopardi said that Mr. Lipani was expected, as part of his Contract obligation, to attend and salt "if he knew it was needed". Mr. Lipani said at trial that he was not obliged under his Contract to salt at any time unless asked but, as part of his giving good service under the Contract, he often attended to ensure that any necessary salting was done.

[18] It is clear that Mr. Lipani was not expected to attend the Plaza on a regular basis to inspect the premises. He was only required to salt if called or the weather conditions obviously required it.

[19] In fact Mr. Lipani attended on January 2, 1990 but there is no evidence whether he was called or attended on his own initiative and whether he attended in the morning or the late evening. The photographs taken on January 3 show ice and salt on the outside sidewalk at the top of the stairs.

[20] Mr. Lipani testified at trial that Mr. Leopardi had instructed him not to salt the covered corridor at the foot of the stairs because of complaints of tenants fronting on the corridor of salt being tracked into their offices.

[21] Mr. Leopardi could not recall tenants' complaints of salting and denied ever telling Mr. Lipani not to salt the covered corridor. Mr. Leopardi testified that Mr. Lipani was expected to salt if he was called to do so, and sometimes he would attend without being called. "He knew if there was a need he should come."

[22] In assessing credibility, I found both Mr. Lipani and Mr. Leopardi were testifying about events which were not particularly memorable and which occurred 6 years prior to commencement of the action, 9 years prior to discovery and 13 years prior to trial.

[23] Mr. Leopardi no longer works for Lawrence. Mr. Lipani has a personal exposure to liability. I found no reason to question the honesty of either man.

[24] While Mr. Lipani said at discovery he salted the steps there is no evidence of salt or ice on the steps. The salt he put on the ice on the sidewalk at the top of the steps was clear from the photographs taken on the morning of January 3.

[25] Mr. Lipani testified at trial that he was responsible for salting at the bottom of the stairs if salt was needed. He then said there was no salt required there and that tenants had complained about salt being put there. He then said he would salt at the foot of the stairs if instructed. On my questioning he said he was responsible for salting the area at the bottom of the stairs if required. He later said he was not supposed to salt at the foot of the stairs unless he was told to.

[26] I find Mr. Lipani was responsible for the corridor at the foot of the stairs and was responsible for salting "if required". There was no ice or salt on the stairs or on the corridor floor beyond the ice at the foot of the stairs.

[27] There was on site a full time maintenance employee to whom Mr. Lipani had given a pail for salt and who had access to Mr. Lipani's salt supply stored in the Plaza garage. This employee had applied salt on prior occasions. I am satisfied that in winter a part of his responsibility, or of Mr. Leopardi, was to be alert to the existence of hazards in the Plaza, including ice, to warn others of the hazards and advise Mr. Lipani of the need to salt. Either this employee or Mr. Leopardi also had a responsibility to ensure Mr. Lipani had performed his work properly.

[28] The ice on the outside walkways and the need to salt them was readily apparent. The clear film of refrozen snowmelt at the foot of the stairs was not apparent from the top of the stairs or the condition of the stairs or the covered corridor floor beyond the foot of the stairs. There is no evidence of the presence of the ice at the bottom of the stairs when Mr. Lipani salted on January 2, 1990.

Dr. Allen's Damages

[29] As a result of this slip and fall, Dr. Allen suffered a comminuted fracture of the index finger of his right hand.

[30] Dr. Allen's finger did not heal properly. There was residual "scissoring" of the index finger and third finger of the plaintiff's right hand, as well as a shortening of the index finger of about ½ inch.

[31] Dr. Allen alleged that, as a result of the slip and fall, he was left with a limitation of function in his right index finger which restricted his ability to practice dentistry. Accordingly, it was alleged that he suffered a loss of income, both past and future.

[32] Dr. Allen also alleged that, as a result of the injury, he would likely develop arthritis in the finger and would have to retire from dentistry early.

[33] In support of his claim, Dr. Allen served a report by Dr. Charendoff, who was a practising dentist for many years, obtained his Masters in Dentistry in 1962, attained his Fellowship to the Royal College of Dentists in 1976, and was elected as a Fellow to the International College of Dentists in 1998. Dr. Charendoff also consulted to the group disability insurer of the Ontario Dental Association. Dr. Charendoff concluded that, as a result of the injury to his finger, the plaintiff was left with a significant limitation of function, and experienced a loss of income in three distinct areas:

- (a) Dr. Allen loses time due to the limitations of his hand and attending to the needs of his hand, which Dr. Charendoff quantified at approximately \$19,800.00 per year;
- (b) Dr. Allen is unable to perform some of the more remunerative dental procedures which would otherwise be available to him. Dr. Charendoff estimated this loss amounted to approximately \$96,140.00 per year; and,
- (c) if Dr. Allen were not limited in his ability to perform dental procedures, he would be able to delegate to associates and assistants some of the less remunerative work which he presently performs himself, thereby increasing his revenue by about \$70,840.00 per year.

[34] Lawrence had Dr. Allen seen by Dr. Terry Axelrod for a defence medical assessment in February, 2000. In his resulting report, Dr. Axelrod agreed that Dr. Allen was left with residual limitation of function, decreased range of motion, and decreased strength in his right index finger

which would impact his ability to carry out his work as a dentist. Dr. Axelrod also indicated that the plaintiff had begun to develop arthritis in the finger joint.

[35] On the date of the slip and fall accident, Dr. Allen was 36 years old.

[36] Dr. Allen issued his statement of claim on December 27, 1995 against Lawrence and Mr. Lipani. On May 26, 1996 Lawrence filed its statement of defence and cross-claimed against Mr. Lipani. On October 26, 1996 Mr. Lipani filed his statement of defence. In February 1997, 825 was added as a defendant. In May 1998 825 filed a statement of defence and a cross-claim against Lawrence. Mr. Lipani did not cross-claim. Mr. Allen's total presented claim was over \$4 million, broken down as follows:

General Damages	\$ 50,000.00
Loss of income	
- during convalescence	\$ 45,479.00
- post-convalescence, to trial	\$ 1,027,290.00
- future	\$ 2,500,000.00
Transfer Payment to partner	\$ 5,522.00
OHIP	\$ 933.99
Out of pocket exp.	\$ 59.32
Prejudgment interest	<u>\$ 477,984.00</u>
TOTAL	<u>\$ 4,061,789.31</u>

[37] The defendants settled the plaintiff's claim for \$200,000.00, inclusive of interest, plus costs.

[38] This was a reasonable settlement of the main action on the part of the defendants, taking into account both liability and damage contingencies.

Focus of this Trial

[39] Although there is an interim funding arrangement in place with respect to the settlement of the main action, the liability issues as between Lawrence and the remaining defendants have not been resolved and are the subject of this proceeding.

[40] The funding of the settlement of the main action will be re-apportioned in accordance with this trial of the cross-claims.

[41] The claims against the third parties were dismissed on consent.

[42] Since the interim funding was put in place, Mr. Lipani and 825 have not been represented by a lawyer.

[43] 825 is insolvent. Mr. Lipani was a shareholder of 825. Lawrence objected to 825 being represented by Mr. Lipani in the absence of security for costs. Mr. Lipani could provide no security. I made no representation order.

[44] This is a trial of the cross-claims by Lawrence against Mr. Lipani and 825 and by 825 against Lawrence.

Applicable Law

[45] Lawrence is an occupier of the Plaza under the *Occupiers' Liability Act*. Under s.3 of that Act Lawrence owed a duty to Dr. Allen to take such care as in all the circumstances of the case is reasonable to see that persons entering on the premises are reasonably safe while on the premises.

[46] Section 6 of the *Occupiers' Liability Act*, R.S.O. 1990, c. O.2, provides:

- (1) Where damage to any person or his or her property is caused by the negligence of an independent contractor employed by the occupier, the occupier is not on that account liable if in all the circumstances the occupier had acted reasonably in entrusting the work to the independent contractor, if the occupier had taken such steps, if any, as the occupier reasonably ought in order to be satisfied that the contractor was competent and that the work had been properly done, and if it was reasonable that the work performed by the independent contractor should have been undertaken.
- (2) Where there is more than one occupier of premises, any benefit accruing by reason of subsection (1) to the occupier who employed the independent contractor shall accrue to all occupiers of the premises.
- (3) Nothing in this section affects any duty of the occupier that is non-delegable at common law or affects any provision in any other Act that provides that an occupier is liable for the negligence of an independent contractor.

[47] Section 9(3) of the *Occupiers' Liability Act* confirms that the *Negligence Act* applies to causes of action to which the *Occupiers' Liability Act* applies.

[48] In *Lewis (Guardian ad Litem of) v. British Columbia* (1997), 153 D.L.R. (4th) 594 (S.C.C.) the court stated at p.604:

In some circumstances, the duty to take reasonable care may well be discharged by hiring and, if required, supervising a competent contractor to perform the

particular work. The standard of reasonable care is met by exercising reasonable care in the selection and, in some situations, the supervision of an independent contractor qualified to undertake the work. If this is done, then the principal will usually not be held liable for injury caused by the negligence of the independent contractor. This long-standing principle of the common law is today reflected in many of the occupiers' liability statutes enacted by the provinces. These Acts generally protect the occupier from negligence of an independent contractor qualified to perform the work.

Analysis

[49] The onus is on Lawrence, as the cross-claimant, to establish on the balance of probabilities that the fault or negligence of Mr. Lipani or 825, or both of them, caused or contributed to Dr. Allen's damages. It is for this court, as the finder of fact, to determine the degree in which each of these three defendants, including Lawrence, is at fault or negligent. See *Negligence Act* s. 1, 2 and 3. Any fault by Dr. Allen is removed from the equation as that was subsumed in the settlement with him.

[50] Lawrence argues that Mr. Lipani was responsible for the area at the foot of the stairs. He had piled the snow at either side of the stairs and knew it was there. He was aware of the thawing and freezing conditions of the previous 4 days and attended the premises to salt on January 2, 1990 but did not salt at the foot of the stairs. Lawrence argues that he breached his obligations under the Contract and duty of care to Lawrence.

[51] There was nothing in the written Contract requiring Mr. Lipani's attendance to salt. The oral understanding that "if he knew there was a need he would come" could not be readily extended to ice from the snowmelt at the foot of the stairs which was not readily apparent from previous temperature conditions. There was no suggestion in the evidence that if Mr. Lipani attended the Plaza only to salt, and not to shovel snow, that he should walk the whole of the Plaza walkways, including covered walkways, to ensure there was no ice from any source. There is no evidence that Mr. Lipani was instructed to salt this ice.

[52] The stairs leading up from the corridor were clear and dry and showed no need for salting. The corridor at the foot of the stairs was covered, clear and dry except for the melt from the snow piled to the side of the bottom of the stairs. Mr. Lipani had piled the snow to the side of the bottom of the stairs out of the path of pedestrians as he had been instructed. Mr. Lipani had not been asked to remove the piled snow. Lawrence must accept the risk of the continued presence of the piled snow.

[53] The weather conditions of the previous few days apparently created an obvious icing risk on the outside sidewalks to which Mr. Lipani responded. The risk revealed by the weather was not so obvious as to extend to the covered area at the foot of the stairs.

[54] There is no evidence whether the ice formed before or after Mr. Lipani's departure on January 2. The temperature on January 2 removes any probability of ice being present before the morning of January 2. Lawrence employees were present on site and Mr. Lipani was not. In the absence of a clear requirement that Mr. Lipani attend the site constantly to inspect for ice, Lawrence retained the residual responsibility for ice that was not apparent, either by notifying Mr. Lipani or salting itself. Lawrence must bear the responsibility for melt from snow which it chose to leave near a pedestrian walkway rather than pay to remove it. Lawrence failed to warn users of the stairs, to instruct Mr. Lipani to salt the ice or to apply salt itself.

Conclusion

[55] Lawrence has failed to establish a duty on Mr. Lipani, either in contract or in negligence, to remove the ice at the foot of the stairs. In the circumstances of this case I find Lawrence wholly responsible for the liability to Dr. Allen. Section 6(1) of the *Occupiers' Liability Act* is not applicable.

[56] Any liability of 825 would be determined by the liability of Mr. Lipani as an officer and employee of 825. In view of my analysis of liability, I make no order against 825 as to its liability.

[57] Judgment accordingly.

[58] The parties may arrange with my secretary to speak to costs.

CAMERON J.

Released: April 3, 2003

COURT FILE NO.: 95-CU-96347
DATE: 20030403

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

GRAHAM GEORGE ALLEN

Plaintiff

- and -

LAWRENCE AVENUE GROUP LIMITED,
SANTO LIPANI, LIPANI CONTRACTORS,
LIPANI SODDING, 825999 ONTARIO LTD.,
carrying on business as LIPANI SODDING, and
JOHN DOES 1 - V

Defendants

- and -

PILOT INSURANCE COMPANY and CARSON
& WEEKS INSURANCE BROKERS LIMITED

Third Parties

REASONS FOR JUDGMENT

CAMERON J.

Released: April 3, 2003